

Culture, Norms, and Labor-Market Allocation

Labor Markets and Political/Cultural Institutions — Week 5

Teaching deck draft

Central question

- How do norms about work, family, reputation, competition, leadership, and acceptable conduct shape labor allocation?
- Which margins move: labor supply, search, care work, entry, entrepreneurship, migration, promotion, or wage acceptance?
- How can economists identify norms rather than using culture as a residual label?

- Week 4: worker voice institutions aggregate claims and change bargaining, governance, and spillovers.
- Week 5: norms shape the acceptable action set before formal organization may exist.
- Norms can alter who searches, which jobs are legitimate, who enters competition, and what wages can be accepted.
- Keep the same discipline: labor outcome, institutional object, mechanism, evidence.

Norms as labor-market mechanisms

- A norm is a shared expectation with social, reputational, or identity consequences.
- It is not a residual after wages, law, and technology fail to explain an outcome.
- Norms enter decisions through stigma, approval, family obligation, status, religious reputation, and peer discipline.
- The empirical task is to separate norms from prices, legal constraints, discrimination, selection, and local demand.

A compact allocation map

$$U_{ij} = w_{ij} - c_{ij} - s_{ij}(a_{ij}, n_i) + \varepsilon_{ij}$$

- w_{ij} : wage or material return.
- c_{ij} : direct cost of work, search, commuting, care, or mobility.
- $s_{ij}(a_{ij}, n_i)$: social cost or reward from action a_{ij} under norm environment n_i .
- Norms change allocation when the social term shifts the net return to a labor-market action.

Week 5 versus Week 6

Object	Week 5	Week 6
Main mechanism	conduct and role expectations	structural hierarchy and category-based access
Examples	family roles, reputation, competition, networking, work ethic	caste, race, ethnicity, migrant status, institutionalized group hierarchy
Labor margin	participation, search, entry, promotion entry, wage acceptance	hiring, authority, protection, networks, occupation boundaries
Diagnostic question	what conduct is rewarded or punished?	how does category membership structure access?

Family and gender-role norms

- Norms about mothers' work, breadwinner identity, care obligations, and acceptable occupations affect labor supply.
- Fernandez–Fogli: inherited culture and second-generation work and fertility outcomes.
- Alesina–Giuliano–Nunn: historical plough use and persistent gender-role norms.
- Jayachandran: norms as barriers to women's employment alongside prices, safety, childcare, and bargaining.

Religion, reputation, and acceptable work

- Religion can operate through public visibility, mobility, sector choice, and reputation-preserving conduct.
- Carvalho: veiling as a conduct and reputation technology, not just a cultural label.
- The labor margins are participation, sector choice, entrepreneurship, mobility, and public-facing work.
- Boundary: religion as conduct norm belongs here; religion as durable group hierarchy belongs in Week 6.

Competition and self-promotion

- Competitive framing can change who applies even when wage offers are held fixed.
- Flory–Leibbrandt–List: randomized job-entry features and application behavior.
- Delfino: gender-coded occupational entry and barriers to men entering pink-collar jobs.
- These designs identify entry responses to job framing, not the full social origin of norms.

Leadership-entry and networking norms

- Advancement can depend on informal networking, visibility, manager interaction, and self-advocacy.
- Cullen–Perez-Truglia: schmoozing and the gender gap in career advancement.
- Week 5 question: who chooses or feels able to enter informal advancement systems?
- Week 6 question: who is structurally excluded from networks, authority, or evaluation?

Work ethic and unemployment norms

- Work norms change the social utility of employment, unemployment, benefit use, and search.
- Clark: unemployment stigma varies with the local social environment.
- Eugster–Lalive–Steinhauer–Zweimuller: work attitudes and search near the Swiss language border.
- The observed margins are search, reservation behavior, benefit use, and psychological costs.

Wage-acceptance norms

- Accepting a wage can have social consequences when workers monitor one another.
- Breza–Kaur–Krishnaswamy: social suppression of labor supply.
- The object is not only an individual reservation wage.
- The market-level mechanism is social discipline around undercutting and acceptable labor supply.

Mechanism map

Norm channel	Labor margin	Typical evidence
Family roles Reputation	participation, hours, care public work, mobility, sector	inherited culture, history religion and community models
Competition Networking Work ethic Wage acceptance	applications, entry promotion, leadership search, unemployment labor supply, reservation behavior	job-entry experiments workplace data local social environment market-level experiments

Measurement strategies

Design	Identifies best	Key limitation
Inherited-culture design	transmission net of host environment	migrant selection, origin bundles
Historical persistence	origins and durability	correlated historical channels
Job-entry field experiment	application response to framing	partial norm environment
Workplace promotion data	informal advancement margins	norms versus access barriers
Local social environment	current social pressure	local demand and composition
Market-level labor experiment	social discipline in supply	setting-specific visibility

- Is the proxy measuring norms rather than prices or constraints?
- Is the design identifying inherited transmission or current social pressure?
- Does the evidence observe conduct, beliefs, applications, promotions, wages, or search?
- What would the same pattern mean under discrimination, household bargaining, or structural hierarchy?

- Reproduce: synthetic inherited-culture exercise inspired by Fernandez–Fogli.
- Diagnose: compare norm proxies with host prices, demand, childcare, education, and household controls.
- Transfer: classify job-entry, religion, networking, work-norm, and market-level designs.
- Core output: what proxy measures, what labor margin moves, and what the design does not identify.

Frontier questions

- How do firm practices amplify or soften norms through job design, scheduling, remote work, and promotion rules?
- How fast do norms change when policy, technology, migration, or labor demand changes?
- When do community norms create local labor-supply distortions?
- How much of leadership gaps reflect conduct norms rather than structural hierarchy?

Bridge to Week 6

- Week 5 studied expectations about conduct: work, family, reputation, competition, networking, and wage acceptance.
- Week 6 studies durable categories and institutionalized hierarchy.
- The transition question: when does a role norm become a system of access, exclusion, authority, and protection?
- Keep categories bounded in Week 5; use Week 6 for caste, race, ethnicity, migrant status, and structural hierarchy.

Takeaways

- Norms change labor allocation through social costs, rewards, acceptable job sets, and community discipline.
- The key margins are participation, search, entry, promotion, migration, entrepreneurship, and wage acceptance.
- Credible evidence names whether it identifies transmission, current pressure, job-entry response, workplace advancement, or market-level supply discipline.
- Week 5 is conduct and role norms; Week 6 is structural hierarchy.